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February 6, 2020

VIA E-FILE

The Honorable Robert H. Gardner, J.S.C.
Essex County Superior Court
Historic Courthouse
470 Martin Luther King, Jr. Boulevard, 4th Floor
Newark, NJ 07102

Re: B.B. v. Mell, et. al.
Docket No. ESX-L-7200-19

Dear Judge Gardner:

The undersigned represents Plaintiff, B.B. in the above referenced matter. Please accept this letter brief in lieu of a more formal brief in opposition to the December 13, 2019 Motion to Quash the Subpoena Duces Tecum (the “subpoena”) and to secure a protective order of Defendants Kimberly Ruggles Mell (“Ruggles Mell”) and Aero Care Services, LLC (“Aero Care”)(collectively “Defendants”) Motion to Quash the Subpoena Duces Tecum (the “subpoena”), dated December 13, 2019 and for a protective order. This will also serve as opposition to the motion of Cary B. Cheifetz, Esq., (“Cheifetz”), the party upon whom the subpoena was served and who has joined in Defendants’ motion.

PRELIMINARY STATEMENT

This matter arises out of the repeated sexual abuse of a 15 year old girl by Defendant, S. Bradley Mell (“Mell”) over a period of five months in 2017. Mell pled guilty to multiple crimes stemming from these actions in both federal and state courts and is serving a lengthy sentence in a federal penitentiary. While the criminal proceedings were pending against Mell, his wife, Ruggles Mell filed for divorce and retained Cheifetz to represent her. Due to the certainty that Plaintiff was entitled to damages from Mell for his recurring sexual abuse, Plaintiff contends that Ruggles Mell conspired with Mell by transferring Mell’s assets in the midst of the criminal and divorce actions. These actions were an obvious attempt to avoid payment of damages in this case. These assets include, but are not limited to retirement income, company buyouts, trust income, and real and personal property. Specifically, Plaintiff alleges that while the divorce action was pending, Ruggles Mell aided Mell to transfer these assets out of Mell’s name and into various entities including trusts and other financial vehicles to hide Mell’s true financial status in an effort to deprive Plaintiff of relief.

After filing a Complaint, a subpoena was properly served on Ruggles Mell’s divorce counsel Cheifetz seeking relevant documents from the divorce action. Given the liberal view of pretrial discovery in New Jersey, these documents should be produced as they are relevant to the pending action because they relate to Plaintiff’s claims as well as facts in issue. For example, Plaintiff is entitled to all financial information for Mell to satisfy Plaintiff’s damages as a result of the abuse. This includes any and all financial documents evidencing the assets of Mell at the time of the divorce filing and thereafter. Given the pattern and nature of Mell’s attempts to hide and transfer his assets, this information is critical to determine what assets were improperly transferred

as part of Mell and Ruggles Mell's fraud¹. Plaintiff is entitled to an accounting of all of Mell's assets including trust documents and corresponding papers about the establishment of the trusts as they relate to the fraud. These documents go the heart of the allegations in Plaintiff's Complaint about Mell and Ruggles Mell's fraudulent acts in transferring funds when they learned of the underlying criminal allegations and of the Plaintiff's intent to bring criminal and civil charges. The documents included in Cheifetz's file are highly probative to the allegations of Mell's financial status.

Despite the overwhelming need for Cheifetz's divorce file, Ruggles Mell and Cheifetz have moved to quash Plaintiff's subpoena and seek a protective order. Putting aside the erroneous contention that Plaintiff is only seeking to obtain this information to embarrass Ruggles Mell, the proponents have wholly failed to meet their burden of establishing good cause to quash the subpoena and issue a protective order. Because good cause has not been established, Ruggles Mell and Cheifetz's motions to quash must be denied.

FACTUAL SUMMARY

On or about October 2, 2019, Plaintiff filed a fourteen count Complaint against multiple defendants, including Mell and Ruggles Mell. See Certification of Bruce H. Nagel ("Nagel Cert.") at Exhibit A. Specifically, the Complaint contains three causes of action against Ruggles Mell for fraudulent transfer of assets and conspiracy to commit a tortious act. Id. at pages 23-25. As against Mell, individually, the Complaint alleges multiple counts stemming from his sexual assault of the minor Plaintiff. Id. at pages 15-26. Thereafter, based on allegations that Mell and Ruggles Mell

¹ Following an Order to Show Cause filed by Plaintiff, the Court entered an Order requiring Mell to account for all of the asset transfers he made as an individual or as a trustee within the last three years. To date, an accounting has not been provided.

were fraudulently concealing Mell's assets during the pendency of the criminal proceedings, Plaintiff filed an Order to Show Cause on November 26, 2019. Id. at Exhibit B. The crux of the Order to Show Cause was to attach the property that Mell and Ruggles Mell conspired to fraudulently transfer within the past three years. Id.

Following the hearing, the Court entered an Order on January 3, 2020 directing one of Mell's former companies to deposit 40% of his retirement income into an attorney trust account. Id. at Exhibit C. On January 7, 2020, the Court entered an Order modifying its previous Order. Id. at Exhibit D. In addition to the relief granted in the January 3rd Order, the Court attached additional assets of Mell and required an accounting of any and all assets received and transferred within the last three years. Id. Additionally, Mell was enjoined and restrained from transferring further assets. Id. Finally, on January 23, 2020, the Court vacated its prior orders and entered an Order which included the relief from the January 7, 2020 Order, as well as, requiring an accounting from Mell for proceeds received by him from multiple companies. Id. at Exhibit E. In addition, several of the proceeds were required to be placed into Plaintiff's attorney's trust account. Id.

While the Order to Show Cause was pending, Plaintiff served a subpoena on Ruggles Mell's matrimonial attorney Cary Cheifetz who represented Ruggles Mell in the divorce action against Mell. Id. at Exhibit F. The subpoena demanded Cheifetz's entire file related to the divorce action and the current residential address of Ruggles Mell². Id. Following service of the subpoena, Ruggles Mell and Cheifetz's motions to quash followed.

² Although not thoroughly addressed in their moving papers, Plaintiff sought the current address for Ruggles Mell as there is evidence in the record that Ruggles Mell was attempting to evade service. Counsel for Ruggles Mell has since agreed to accept service on behalf of Ruggles Mell.

LEGAL ARGUMENT

I. Defendant's Reliance on Kerr Is Misplaced And Defendant Has Failed to Show Cause As to Why the Documents Requested Should Not Be Produced

“New Jersey’s discovery rules are to be construed liberally in favor of broad pretrial discovery.” Payton v. New Jersey Turnpike Auth., 148 N.J. 524, 535 (1997); see also Jenkins v. Rainer, 69 N.J. 50, 56 (1976)(“Our court system has long been committed to the view that essential justice is better achieved when there has been full disclosure so that the parties are conversant with all the available facts.”). Discovery may be had “regarding any matter, not privileged, which is relevant to the subject matter involved in the pending action, whether it relates to the claim or defense of the party seeking discovery or to the claim or defense of any other party.... It is not ground for objection that the information sought will be inadmissible at trial if the information sought appears reasonably calculated to lead to the discovery of admissible evidence....” R. 4:10-2(a). To determine whether the materials sought are discoverable, their potential relevance is the initial inquiry. In re Liquidation of Integrity Ins. Co., 165 N.J. 75, 82 (2000). In deciding whether evidence is relevant, the focus is on the “logical connection between the proffered evidence and a fact in issue.” State v. Hutchins, 241 N.J. Super. 353, 358 (App. Div. 1990). Relevancy under the rule means a “tendency in reason to prove or disprove any fact of consequence to the determination of the action.” Payton, 148 N.J. at 535, quoting N.J.R.E. 401.

Here, Defendant incorrectly relies on Kerr v. Able Sanitary and Environmental Services, Inc. for the blanket position that Plaintiff’s subpoena to her divorce attorney is improper. Defendant’s reliance is misplaced as the facts of Kerr are distinguishable to the facts at bar. Specifically, unlike the subpoena in Kerr, the subpoena in this case was not issued to counsel by the ***adverse party*** during the pendency of the litigation. Kerr v. Able Sanitary and Environmental

Services, Inc., 295 N.J. Super. 147, 150-151 (App. Div. 1996)(emphasis added). In analyzing whether a subpoena should be quashed when served upon an **adverse attorney**, the Kerr Court required a showing that “that the information sought is not only relevant, but is within the proponent’s legitimate discovery needs...” Id. at 155 (emphasis added). However, even under these circumstances, the Kerr court made clear that despite this holding, “there are circumstances under which a party’s attorney may be compelled to submit to a deposition.” Id. at 159. These circumstances have been held to include the issuance of a subpoena on a party’s prior counsel in subsequent proceeding. See e.g. Horon Holding Corp. v. McKenzie, 341 N.J. Super. 117 (App. Div. 2001) (requiring counsel for judgment-debtor to comply with subpoena to disclose information about the whereabouts of his former client).

Ruggles Mell’s reliance on Kerr is therefore misplaced as the subpoena in this case was served on Cheifetz who does not represent Ruggles Mell as an adverse party in this litigation³. In addition, despite their argument to the contrary, Plaintiff does not seek testimony or documents covered by the attorney-client privilege. Instead, Plaintiff seeks relevant information about key allegations made in the Complaint. Plaintiff’s subpoena that was served on Cheifetz is for his litigation file in a separate matter, unrelated to this case. That is an important distinction that Ruggles Mell ignores in their moving papers. The subpoenaed documents from the divorce action relate to multiple issues in **this** case. Specifically, Plaintiff is seeking all financial information for Mell to satisfy Plaintiff’s damages as a result of the abuse. Cheifetz is in possession of documents evidencing the assets of Mell at the time of the divorce filing, a time that coincided with the

³ Cheifetz has entered an appearance in this case for the purpose of filing the within motion to quash. Even if Cheifetz or Ruggles Mell argue on reply that Cheifetz is co-counsel on this case, it does not change the fact that Plaintiff seeks Cheifetz’s file in the matrimonial action and not the present case.

Defendants' knowledge of the intent by the Plaintiff to bring criminal/civil charges. It further coincided with Defendant Mell's statement to the Plaintiff that she would not be successful in bringing monetary claims against him as his money was protected from liability through trusts. Hence, this subpoenaed information is critical to determine the scope and nature of the assets that were improperly transferred as part of the fraud that was committed by Mell and Ruggles Mell. Plaintiff is undoubtedly entitled to these documents which go the heart of the allegations in Plaintiff's Complaint. Documents containing this information important to establishing certain elements of Plaintiff's case and Cheifetz is in sole possession of this information.

Plaintiff's Complaint contains fourteen causes of action. See Nagel Cert. at Exhibit A. Specifically, against Ruggles Mell, Plaintiff's Complaint alleges 1) two counts of fraudulent transfer and 2) conspiracy to commit a tortious act. Id. at pages 23-25. The crux of Plaintiff's Complaint on these issues is that Ruggles Mell aided Mell to transfer and hide assets to avoid civil liability. Plaintiff's subpoena seeks the financial information for Mell including any and all financial documents demonstrating Mell's assets at the time of the divorce and criminal investigation in Cheifetz's file. Plaintiff is entitled to this information to determine what assets were improperly transferred as part of Mell and Ruggles Mell's fraud. This includes an accounting of all of trust documents and corresponding papers about the establishment of the trusts. These documents go the heart of the allegations in Plaintiff's Complaint about Mell and Ruggles Mell's fraudulent acts. Clearly, the documents included in Cheifetz's file will provide Plaintiff with the relevant information about Mell's financial status and fraudulent transfers. For these reasons, Plaintiff's subpoena is proper and Cheifetz should be ordered to comply.

II. Defendant's Remaining Arguments That Plaintiff Merely Seeks Publicity and That Ruggles Mell Would Be Financially Burdened Are Without Merit

Ruggles Mell's argument that Plaintiff will publicize the information contained in Cheifetz file in an attempt to ridicule and embarrass Ruggles Mell and her children is unsupported. Merely because the press has written an article based upon information obtained from a publically-filed document, does not mean that Plaintiffs have an interest in publicizing the case. Moreover, the Court's Order regarding Mell's assets and the Order to Show Cause is public record and readily available. Proponents cite no case law supporting their claim that fear of disclosure to the public is a viable ground to limit Plaintiff's legitimate discovery rights. Finally, Ruggles Mell argues that the cost of production of the matrimonial file would unduly burden her. In support of this argument, Ruggles Mell provides nothing more than self-serving statements about the amount of documentation involved. Plaintiff served a proper subpoena that requires compliance under the Court Rules and production should be ordered by the Court accordingly.

III. Plaintiff's Subpoena Properly Seeks Mell's Financial Information

Ruggles Mell's argument about post-judgment asset discovery misconstrues the information which is being sought by the subpoena. Plaintiff is not seeking financial information merely for the satisfaction of a judgment as Defendant suggests. Instead, the issues of the finances of both Mell and Ruggles Mell are relevant to the discovery in this litigation. Specifically, it has been argued both in Plaintiff's Complaint, as well as, its Order to Show Cause that Mell, a very rich business man colluded and conspired with his wife to hide his assets. Following Plaintiff's Order to Show Cause, the Court entered an order granting attachment on those assets which Mell has attempted to hide. See Nagel Cert. at Exhibit E. With regard to the financial information sought by the subpoena, Plaintiff is seeking information about Mell's assets which were in his possession

during the matrimonial and criminal proceedings. Therefore, there is no post-judgment discovery being sought by way of subpoena, but rather, discovery on the assets which are alleged to have been transferred improperly. Once again, for the reasons previously stated goes directly to the heart of Plaintiff's claims against Mell and Ruggles Mell, that assets have been fraudulently transferred.

IV. A Subpoena May Be Issued At Any Time And Prior Discovery Is Not Required

Despite Ruggles Mell's argument that a subpoena should not be issued without prior discovery, there is no authority for that proposition. In fact, one of the objectives of the subpoena rule is "to provide litigants the opportunity of full discovery from non-parties." Cavallaro v. Jamco Prop. Mgmt., 334 N.J. Super. 557, 566 (App. Div. 2000). In terms of when a third-party subpoena may be served, there is no time restriction other than that the subpoena must be "served no less than 10 days prior to the date therein scheduled...." R. 4:14-7(c). The subpoena at issue was personally served on Cheifetz on December 13, 2020 with a return date of January 7, 2020. See Nagel Cert. at Exhibit E. Clearly, the only timing requirement, the ten day service requirement was complied with and Plaintiff's subpoena was valid. In her moving papers, Ruggles Mell fails to cite to any legal authority for the position that the age of the case plays a role in when a subpoena can be issued. The stage of the case has no bearing on when a subpoena may be issued to a third-party and Defendant's argument to the contrary lacks merit and should be ignored by the Court.

V. Defendants Have Failed to Show, Nor Can They Show, That The Subpoena Seeks to Annoy, Embarrass, Oppress Or Create Undue Burden Or Expense Requiring A Protective Order

For the reasons set forth above, the subpoena in this case plainly seeks relevant information. Rule 4:10-3 provides for the issuance of protective orders pursuant to a motion to quash a subpoena. See Kerr, 295 N.J. Super. 147 (stating that motion to quash deposition subpoena is considered equivalent of a motion for protective order). The rule states in pertinent part:

Upon motion by a party or by the person from whom discovery is sought, and for good cause shown, the court may make any order which justice requires to protect a party or person from annoyance, embarrassment, oppression, or undue burden or expense, including but not limited to, one or more of the following:

(a) That the discovery may not be had....

Id. The “movant bears the burden of persuading the court that good cause exists for issuing the protective order.” Id. at 155. In support of their position that good cause exists, Ruggles Mell and Cheifetz’s argue that the deposition or production of documents from Cheifetz would adversely affect the underlying litigation. However, as stated above, this does not constitute good cause if the “deposition will not have any ‘disruptive or burdensome effect’ on the underlying litigation.” Horon, 341 N.J. Super. at 130. Other than citing to the inapplicable Kerr case which deals with the deposition of an adverse party in pending litigation, Ruggles Mell and Cheifetz fail to demonstrate that a protective order is required. As Kerr is not relevant, movants “are therefore required to demonstrate that a protective order was necessary as to specific and discrete questions objected to on attorney-client privilege grounds, rather than by asserting a blanket objection to the deposition in its entirety.” Id.

On review of the moving papers of Ruggles Mell and Cheifetz, they fail to meet this burden. Specifically, Ruggles Mell cites to the personal information that is being sought from the divorce action as a basis for a protective order. In doing so, they cite to the risk of confidential information being exposed to unintended recipients. As stated above, Plaintiff has no intention of disseminating personal information of Ruggles Mell or her children. Plaintiff is seeking relevant information regarding a number of counts set forth in the Complaint that are in the possession of Cheifetz. Plaintiff is entitled to this information as part of its claims and the unfounded fear of public dissemination alone does not rise to the level of good cause. See T.S.R. v. J.C., 288 N.J. Super.

48, 55 (App. Div. 1996)(“the strong common law presumption of access must be balanced against the factors militating against access. The burden is on the person who seeks to overcome the presumption of access to show that the interest in secrecy outweighs the presumption”). Ruggles Mell and Cheifetz cannot meet this burden. Therefore, the request for a protective order should be denied.

VI. Alternatively If The Court Finds Plaintiff’s Subpoena Overbroad, Plaintiff Will Limit Its Requests Without Prejudice.

If the Court finds Plaintiff’s subpoena to Cheifetz to be overly broad and not specific enough, Plaintiff is willing to limit its request for documents to a number of identified documents related to its claims. In that instance, Plaintiff would agree to withdraw its present subpoena in exchange for the release of those documents. Naturally, this request would be without prejudice and Plaintiff would be allowed to reassess its future document requests as the evidence so requires. In terms of the specific documents Plaintiff will seek, Plaintiff can agree to limit its request from Cheifetz file to the following, all of which are public record:

- Matrimonial CIS
- Matrimonial property settlement agreement
- All motions filed in the matrimonial action including but not limited to motions to transfer assets and motions for support
- Complete trust documents for any and all trusts where Mell and Ruggles Mell are trustees, beneficiaries, or serve in any other capacity

Of course, all of these documents have been filed to the Court during the pendency of the underlying litigation and are therefore readily available. Each document will set forth the monetary status of Mell during the pending divorce and criminal proceedings. Given the limited scope of this request, Ruggles Mell should have no objection to its disclosure. For these reasons, in the alternative, should the Court require a more limited document request, Plaintiff requests that the Court enter an order compelling these documents within fourteen (14) days.

CONCLUSION

For all of the foregoing reasons, the Court should deny Defendants' and Cheifetz's motions to quash the subpoena.

Respectfully,

Bruce H. Nagel

BRUCE H. NAGEL

CC: All counsel (Via E-File)